CENTRUM

Sansera Engineering Ltd

Structural Shift Underway; Complexity Remains the Edge

We met senior management (Mr. S Sekhar Vasan – Chairman; Mr. B R Preetham – ED & CEO; Mr. Vikas Goel – CFO; and Mr. Hari Krishnan – CEO, ADS) and visited Sansera's Auto and ADS manufacturing facilities in Bengaluru. Sansera is a precision engineering player focused on complex, safety-critical components (connecting rods, crankshafts and assemblies), with growing presence in aerospace, defense and semiconductor. Its manufacturing is characterized by high automation, micron-level precision and strong process engineering, catering to global OEMs.

Double-digit growth with margin expansion led by mix shift

Sansera's long-term revenue target is underpinned by a three-lever growth framework: Auto at ~15% CAGR (ahead of industry, driven by exports and new program ramps), ADS at ~30% CAGR, and incremental international scale-up. Margin expansion is expected to be gradual, supported by an improving mix (higher share of assemblies and ADS), operating leverage from scale-up, and structural cost advantages from in-house manufacturing, with increasing export intensity further supporting profitability.

ADS segment to scale to Rs.10bn–12bn over medium term

The ADS segment has emerged key growth driver, backed by a ~Rs. 38.7bn unexecuted order book (~5 years visibility). Revenues are guided at ~Rs. 3.0–3.2bn in FY26E and ~Rs. 5–6bn in FY27E, with a sharp ramp underway, and are expected to scale to ~20–25% of group revenues by FY30E. At maturity, management targets ~2x asset turns, ~25% EBITDA margins and higher ROCE, implying an 8–10% margin premium vs. the core business. Incremental capex (~Rs. 2.5bn).

Strong order pipeline with inherent revenue lag

Order inflow remains robust, with a defined ramp-up trajectory (30% in Year 1, 60–70% in Year 2, 80%+ in Year 3), providing medium-term revenue visibility. The ADS segment has a strong cumulative unexecuted order backlog of ~Rs 38.7 bn, providing visibility over the next ~5 years. The company resets its order book annually, removing orders after partial execution (~25% of peak revenue or 6 months of production), which leads to reported order book understating forward revenue visibility.

Process Depth Driving Margin Quality

The connecting rod line operates at ~4,500 units/day with ~3-micron precision, while in-house machine building (~50% of equipment) delivers ~20–25% savings, structurally supporting ROCE. Aluminium forging (~5% of volumes, high realisation) operates at materially tighter standards than steel (2.5-day turnaround vs 1.5hrs; zero tolerance for surface defects), creating a strong entry barrier. The Pantnagar facility (commissioned Feb-26) is ramping up, strategically aligned to northern OEM demand clusters.

Outlook & Valuation

Sansera is well placed for sustained growth, supported by strong order inflows and structural outsourcing tailwinds. The company targets revenue to grow in double digits led by (Auto ~15% CAGR; ADS ~30%), with ADS scaling to ~Rs. 5.5–6.0bn by FY27 and ~Rs. 10–12bn over the medium term. Tech-agnostic segments are expected to contribute higher, while margins should improve on better mix, operating leverage and ADS scale-up. **Consensus forecasts imply Revenue/EBITDA/PAT CAGR of 16.1%/ 20.1%/30.5% over FY25–28E, with the stock trading at 34.5x/27.4x FY27E/FY28E EPS. Not Rated.**

Financial and valuation summary

YE Mar (Rs mn)	FY21A	FY22A	FY23A	FY24A	FY25A
Revenues	15,493	19,890	23,460	28,114	30,168
EBITDA	2,743	3,355	3,873	4,799	5,148
EBITDA margin (%)	17.7	16.9	16.5	17.1	17.1
Adj. Net profit	1,080	1,305	1,462	1,847	2,136
Adj. EPS (Rs)	20.7	25.0	27.6	34.5	34.5
EPS growth (%)	33.9	20.8	10.4	24.8	0.1
PE (x)	106.1	87.8	79.5	63.8	63.7
EV/EBITDA (x)	51.4	42.6	36.8	29.9	26.2
PBV (x)	13.0	11.2	10.0	8.7	4.9
RoE (%)	13.1	13.7	13.3	14.7	10.4
RoCE (%)	10.3	10.7	10.6	12.0	10.2

Source: Bloomberg, Centrum Broking

Company Update

India I Auto Ancillaries

19 March, 2026

Not Rated

Price: Rs2,135

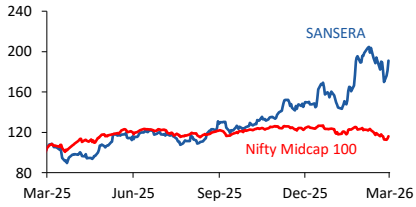
Institutional Research

Market Data

Bloomberg:	SANSERA IN
52 week H/L:	Rs2396/953
Market cap:	Rs133bn
Shares Outstanding:	62mn
Free float:	69.8%
Avg. daily vol. 3mth:	249,663

Source: Bloomberg

SANSERA relative to Nifty Midcap 100



Source: Bloomberg

Shareholding pattern

(%)	Dec-24	Sep-24	Jun-24	Mar-24
Promoter	30.2	30.2	30.3	30.4
FIIs	19.4	19.6	19.5	20.1
DIIs	36.4	37.1	36.9	37.1
Public/other	14.0	13.1	13.3	12.4

Source: BSE

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Auto Ancillaries

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Management Meet KTAs

- The ADS segment has a strong cumulative unexecuted order backlog of ~Rs 38.7 bn, providing visibility over the next ~5 years. Revenue from this segment has been scaling rapidly, with a 4x YoY growth in Q3FY26, and management expects revenues to reach ~Rs 3.0–3.2 bn in FY26E and ~Rs 5–6 bn in FY27E, indicating a sharp ramp-up trajectory.
- FY27E ADS target of Rs.5–6bn is underpinned by Rs.3.5bn capex that has already been deployed; the revenue is now a function of program ramp up; management highlighted a 2x asset turn at maturity with ~25% EBITDA and better ROCE as the segment benchmarks.
- ADS carries a ~8-10% EBITDA premium to the blended company with aim to scales this segment toward 20–25% of group revenues by FY30.
- Auto at ~15% CAGR on a ~Rs. 36bn base, ADS at ~30% CAGR, and international business scaling up. Domestic auto is guided to grow higher than industry rates (6–8%); the delta to target (~15% growth) is expected to be driven by export wins, new program ramps, and incremental customer additions, with management outlining a clear execution-led bridge.
- Domestic growth remains largely market-linked, but overall auto growth is structurally dependent on incremental business wins, particularly exports and new platforms, implying a higher reliance on order inflow conversion rather than underlying industry tailwinds.
- Order book conversion to revenues follows a defined ramp profile (30% in Year 1, 60–70% in Year 2, 80%+ in Year 3), creating a natural lag between order booking and steady-state revenue contribution; consequently, current order inflows are a more relevant leading indicator of medium-term growth.
- Order book is reset annually, with orders removed upon reaching ~25-30% of peak annual revenue or ~6 months of production. In the latest reset, ~Rs. 6bn was removed from a ~Rs. 18.5bn book; however, only ~Rs. 1.0–1.25bn would have been recognised in Year 1, with the balance building into FY27–28 revenues.
- Portfolio mix continues to diversify, with tech-agnostic, xEV and non-auto segments scaling +40% by FY27E, reflecting a gradual but visible shift away from core auto dependence.
- Structural tailwinds in global auto outsourcing remain intact, driven by compression in engine lifecycles (~5–6 years vs. 10–12 years earlier), which weakens the viability of captive capex for OEMs. Combined with underinvestment in forging capacity amid EV transition uncertainties, this is creating a supply-demand imbalance that benefits established suppliers.
- Sansera's current ~7% share in the ~US$350mn global connecting rod market underscores significant headroom for share gains, particularly as OEMs increasingly look to outsource critical components.
- US localisation remains a strategic lever for scaling share in global programs; management indicated that while ~15–20% share is achievable via exports, achieving 50–70% requires a local manufacturing footprint.
- Current Section 232 tariffs are fully pass-through and do not impact margins, management highlighted ~18% as the viability threshold. Any movement here, along with tighter USMCA regional content norms, could act as a trigger.
- Crankshaft assembly outsourcing is gaining traction, supplies have commenced to major OEMs, representing a meaningful outsourcing opportunity given legacy in-house setups.
- Bundled procurement (connecting rod + piston assemblies) is already being adopted by OEMs such as Maruti Suzuki and is increasingly visible in global markets, indicating a structural shift toward integrated sourcing.

- Sweden operations continue to serve as a strategic gateway to large engine programs (9–18L), with process learnings transferable to India, though margins remain dilutive (~10–12% EBITDA).
- European presence remains a gating factor for premium OEM sourcing (e.g., Ferrari), reinforcing the strategic relevance of the Sweden facility despite sub-optimal returns.
- Aerospace is emerging as a structurally advantaged segment, driven by high engineering intensity (~60% white-collar workforce) and cost arbitrage in India; program complexity is increasing, with India now participating in core, functionally critical components.
- With aircraft demand increasingly skewed toward Asia, supply chains are gradually realigning geographically, supporting a long-term outsourcing shift toward India.
- Defence opportunity remains intact but execution timelines are inherently elongated — structural dependence on imports (~90% of procurement) continues to act as a key bottleneck despite successful qualifications.
- Near-term opportunity is limited to surveillance radar (~Rs. 2bn TAM), while fuses and seekers offer high-margin potential (60–70%) but remain contingent on order conversion; ongoing programs are progressing, though revenue realisation is likely to be staggered and non-linear.
- Sansera is investing in both organic and inorganic growth opportunities, including a JV with Nichidai with an investment of ~Rs 500 million to expand into high-value, tech-agnostic components. Additionally, continued capex in ADS and new facilities reflects a focus on building long-term capabilities while maintaining a strong balance sheet.

Plant visit KTAs

Plant 11 | Automotive Segment Facility

Steel Forging

- Steel forging remains fully automated given high volumes, primarily serving engine applications (connecting rods, crankshafts) where strength and dimensional consistency are the acceptance criteria.
- Connecting rod line runs at 4,500 units/day across 16 lines at 3-micron precision witgh Forging rejection rates at 1.5–1.6% for forging and 0.5–0.6% for machining on connecting rods; rejected parts sold as scrap for cost recovery. Weight consistency remains a critical parameter on this component given its role in translating piston force to the crankshaft, and the automation being a differentiator.
- Cummins is among the anchor customers for 4,000-tonne forgings for crankshaft-connected rods; forging capability in heavy duty ranges from 2000-+4,000 tonnes overall, with higher tonnages deployed for industrial usages and CVs.
- Crankshaft scope is deliberately limited to 2-cylinder, with no immediate intention of moving into 3- or 4-cylinder, keeping the business focused on segments where company has clear process advantage and margin discipline
- Stationary engine demand is a more recent development — management flagged a sudden surge in requirements from multiple directions simultaneously, underlining that the ICE demand picture is broader than just automotive

Aluminium Forging

- Aluminium involves 7–8 additional process steps vs. steel; billet heating, multi-stage heat treatment, shot blasting, and anodising in place of painting; post-machining, components are arranged in a tree structure before being processed through anodising chemicals, which delivers superior surface finish and corrosion resistance; relevant for premium model for OEMs like BMW, Triumph where aesthetic standards are the primary acceptance criterion, not just dimensional tolerance
- Aluminium forging process uses a roller-based size reduction process rather than gas-based heating; improves efficiency and is a differentiated process detail worth calling out.
- Multiple design changes per day on aluminium lines makes full automation commercially impractical for now; the real IP is process knowledge and a skilled workforce that can absorb design volatility without compromising quality
- A single surface scratch on an aluminium part is grounds for rejection; this is qualitatively different from steel forging due to which players like Sansera can serve premium OEM aluminium programs
- Aluminium components are half the weight of equivalent steel; the light weighting argument remains structurally intact as OEMs tighten emission and EV range targets
- Turnaround of ~2.5 days for aluminium vs. ~1.5 hours for steel reflects the process complexity, but also creates a meaningful barrier to entry for anyone trying to replicate the capability at scale.
- Aluminium forging is only ~5% of total volumes; niche and high-realisation; global peers are not willing to put up dedicated infrastructure for these volumes, which is where Sansera's early-mover advantage sits.
- Management deliberately paused new aluminium order intake through FY26 to consolidate efficiency learnings before scaling; expect a more aggressive go-to-market in FY27.

Cost and Manufacturing

- ~50% of machinery is built in-house, delivering ~20–25% savings. Every new line added benefits from this, which compounds favourably on return ratios over time without sacrificing precision.

- Pantnagar, Uttarakhand (Inaugurated in Feb-26) is the cost-efficient hub for 2W components (crankshafts, rocker arms etc), strategically located for northern OEM clusters with a lower overall cost base relative to Bengaluru.
- Management highlighted that a significant portion of crankshaft manufacturing is still done in-house by OEMs, creating a strong outsourcing opportunity. The plant is being developed with high automation with ramp-up aligned to customer demand.
- Indian operations are broadly 25–30% cheaper than European equivalents on a total product cost basis, though new global customers typically start Sansera at 15–20% share of business regardless; supply chain diversification logic overrides pure cost for the first several years of a relationship.

EV and Technology-Agnostic Products

- Two new products for premium PV OEM now in production at Plant 11, targeting ~1mn units/quarter with ~Rs.180 Mn in expected revenues; legacy Tesla business continues from Plant 2, with total Tesla exposure is therefore broader than one program
- New components recently finalised for a customer; hybrid and rotor shafts (applicable to both hybrid and EV drivetrains) in active production — early evidence of content expansion from the ICE base
- Hybrids carry 50–60% higher component content vs. ICE PVs, with ICE PV CPV at Rs.3k-4k, the hybrid transition is a direct content uplift for company without requiring a significant technology pivot
- Most new product additions are being designed to be technology agnostic**;** suspension, braking, drivetrain, and body/chassis components that are platform-neutral; the only filter is complexity and precision requirements, since commodity-level work is not the target

Plant 9 | Aerospace, Defence & Semiconductor

Facility and Capability

- Current footprint is 140k sq ft (two-thirds aerospace and semiconductor, one-third defence) with an additional 80k sq ft under construction adjacent to the existing plant, given the order pipeline across aerospace, defence, and semiconductor, this capacity remains pre-committed already
- The company is undertaking capex of ~Rs 2.5 billion to expand capabilities, including entry into complex structural components and addition of in-house surface treatment facilities, and enabling movement up the value chain.
- The plant handles components ranging from 0.5 metres to 4 metres in size**,** the 4-metre anodising tanks and Rs.200–250 Mn precision machines (predominantly Japanese) remains rare assets for auto component player in India.
- Aerospace parts are direct-machined from raw material rather than forged, forging adds process steps where the probability of error rises, and the volumes (25,000 cumulative, 350+ variants) do not justify the tooling investment.
- Turnaround is 8–12 weeks for standard aerospace parts and 6–7 months for titanium, the long cycle times reflect both the complexity and the precision requirements.

Aerospace Portfolio

- Sole-source on the Airbus A350 gimbal thrust reverser, this is the component that reverses engine thrust during aircraft braking; being the only qualified global supplier on a safety-critical braking system component.
- Boeing relationship spans 12+ years, covering multiple program generations.
- Portfolio extends to 1 casings, flap actuators (11-part assemblies per aircraft that actuate the flaps), and ADR aircraft step door assemblies (the flexi door on smaller regional jets where the door unfolds as a set of steps).
- Door system components are supplied across all 9 door positions on select platforms.

- Currently supplying machined parts to Dynamatics for the A220 rear cargo door assembly (first shipment recently completed).
- The ADR step door assembly is the near-term assembly target — one of the more complex functional items in the package; sheet metal is the specific capability gap being addressed

Semiconductor Equipment

- Sansera supplies chamber components to Semicon Fab Equipment OEMs, the chamber is the structural housing.
- Process flow: aluminium forged → machined at Plant 9 → sent to Malaysia for specialised surface treatment → returned to Sansera for precision re-cleaning → dispatched to end customer; the multi-leg process reflects the exacting cleanliness and dimensional standards that semiconductor equipment OEMs demand
- ~250 units/month across 150 active part numbers; realisations of $80–$3,500 per component.
- 3 months of inventory is held, demand visibility is high; working capital is elevated at ~200 days (largely RM, WIP, and inventory given small batch sizes and large material lot sizes; debtors at 60–70 days).
- R&D costs in ADS run at ~5% of revenues and are fully expensed, management confirmed zero capitalisation; the cost discipline here is worth noting as it means reported margins are clean

Defence

- 4 of 5 critical components for a seeker radar (co-developed over 8 years with the JV partner) are manufactured in-house; these are the only qualified seekers for Rudram 1, 2, and 3 missiles.
- Radar technology is entirely imported today at Rs.80–100 Mn per unit, the entire TAM is an import substitution opportunity in a segment where indigenisation is a stated government priority
- Surveillance radar remains a new opportunity where management views this as the faster near-term growth path given it serves civilian applications (border surveillance, perimeter security, drone detection) that have shorter procurement cycles than missile seekers

Company overview

- Sansera Engineering Ltd. is a precision engineering company specialising in the manufacture of complex forged and machined components used across automotive and industrial applications. The company supplies critical engine and drivetrain components such as connecting rods, rocker arms, crankshaft assemblies and gear shifter forks, which are widely used across 2W, PV and CV. Within its product portfolio, connecting rods constitute the largest revenue contributor (~36%), followed by rocker arms (~16%) and crankshaft assemblies (~15%), with the balance coming from a range of other precision-engineered components.
- Over time, Sansera has expanded its technological capabilities beyond core automotive applications into high-precision industrial segments such as aerospace, defence, off-road equipment, agriculture and semiconductor equipment manufacturing. This diversification allows the company to leverage its expertise in complex machining and forging while building exposure to structurally growing engineering segments.
- Sansera operates through three primary business verticals: Auto-ICE, Auto Tech-Agnostic & xEV, and Non-Auto industrial segments**.** Historically, the Auto-ICE segment has been the largest contributor, accounting for ~74% of revenue in FY25, supported by long-standing partnerships with leading domestic and global OEMs. However, the company has been gradually rebalancing its portfolio towards technology-driven and higher-value segments such as EV components, aerospace parts and semiconductor equipment components. This transition is aligned with broader industry trends including electrification, lightweight engineering and the increasing demand for high-precision components in advanced manufacturing industries.

A. Automotive Components (~71% of revenue)

- Sansera is a key supplier of critical engine and drivetrain components such as connecting rods, crankshafts, rocker arms and gear shifter forks for two-wheelers, along with connecting rods and rocker arms for passenger vehicles. These components are supplied to OEMs in fully finished forged and machined form, reflecting the company's strong capabilities across the entire value chain from forging to precision machining.

Two-Wheeler Motorcycle Segment

- The motorcycle segment remains the largest contributor within the two-wheeler category, accounting for ~41% of ICE automotive segment revenue as of 9MFY26. Sansera supplies key components such as connecting rods, crankshafts and rocker arms to most leading two-wheeler OEMs in the domestic market.
- The company expects sustained demand from this segment driven by premiumization trends in motorcycles, which increasingly incorporate more advanced engine and chassis components. Rising disposable incomes and favourable tax structures are also supporting the shift towards higher-displacement motorcycles. As a result, content per vehicle is gradually increasing. Sansera is also transitioning from traditional die-casting processes to aluminium forging in certain applications, subject to customer requirements. Notably, the company's revenue growth has largely outpaced industry growth in the motorcycle segment over the years.

Two-Wheeler Scooter Segment

- Sansera's presence in the scooter segment is primarily driven by its strong positioning in precision components for ICE scooters, while exposure to electric scooters is currently limited but evolving. Demand for fuel-efficient and premium scooters equipped with advanced drivetrain and transmission components continues to support the company's growth.
- Urbanisation, rising last-mile mobility requirements and the growing popularity of premium scooters have further strengthened demand in this category. Long-standing

relationships with leading domestic and global scooter manufacturers provide Sansera with strong order visibility. While electrification in the scooter market is progressing rapidly, Sansera's participation in this segment remains at an early stage, with greater emphasis currently placed on higher-value drivetrain and structural components for electric motorcycles and passenger vehicles.

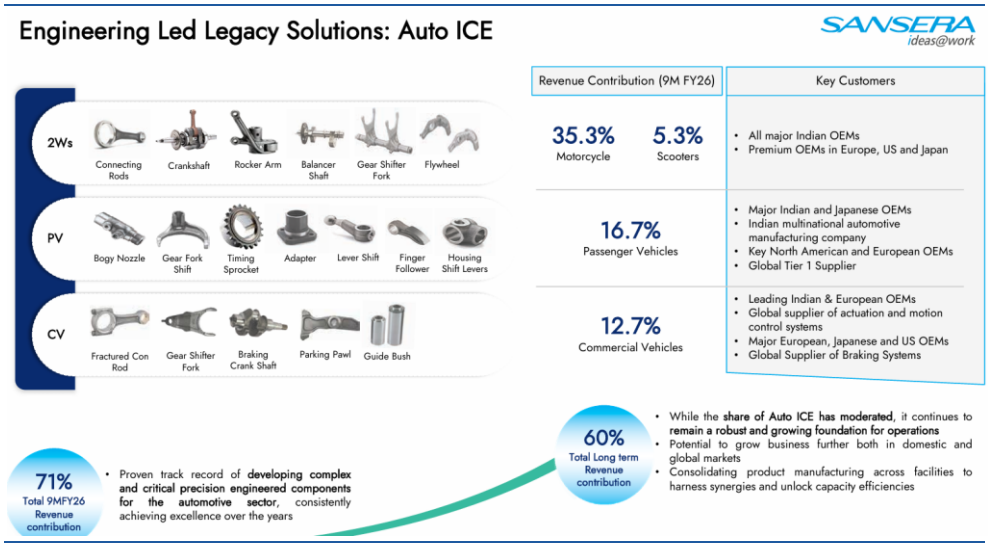
Passenger Vehicle Segment

- The passenger vehicle segment accounts for ~17% of ICE automotive segment revenue and represents an important growth area for Sansera. The company supplies critical engine and transmission components including rocker arms, connecting rods and shifter forks to several domestic and global OEMs.
- Increasing premiumization in the PV industry—driven by consumer demand for improved performance, safety and comfort—has led OEMs to adopt more advanced and lightweight components. While FY25 witnessed some headwinds due to slower demand in certain export markets such as Europe and the US, Sansera continues to benefit from content per vehicle expansion and new program wins from both domestic and global OEMs. Additionally, localisation initiatives and deeper integration with customers across platforms are helping the company improve its share of business.

Commercial Vehicle Segment

- Sansera's exposure to the commercial vehicle segment (~13% of ICE automotive revenue as of 9MFY26) spans both medium and heavy commercial vehicles (MHCVs) as well as light commercial vehicles (LCVs). The company supplies a range of engine, transmission and braking components including connecting rods, injector support brackets, valve bridges, gear shifter forks, intermediate rings, crankshafts and guide bushes.
- Despite the cyclical nature of the CV industry, Sansera has managed to mitigate volatility through a diversified customer base and increasing content per vehicle. As OEMs focus on cleaner, fuel-efficient engines and improved payload capabilities, demand for technologically advanced and durable components is expected to remain strong. Additionally, new programs in North American and European CV markets are expected to gradually ramp up, supporting future volume growth.

Exhibit 1: Auto ICE Product Portfolio

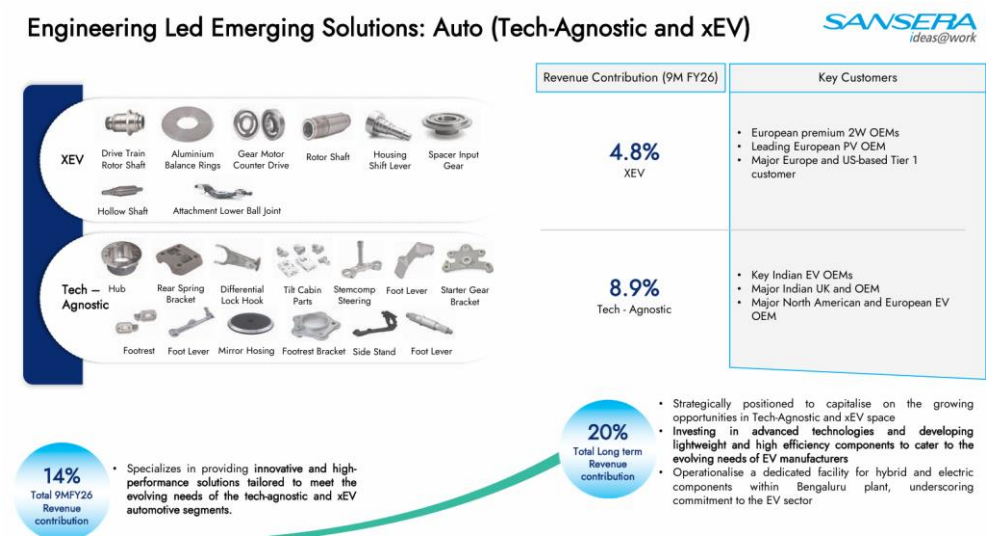


Source: Centrum Broking, Company Data

Tech-Agnostic and xEV – Emerging High-Growth Segment

- Sansera has been actively expanding into electric vehicle components to reduce dependence on conventional ICE platforms and participate in the structural shift towards vehicle electrification.
- Within the tech-agnostic segment, the company has secured an order book of around Rs.1.5bn (8% of total orders), largely driven by demand from electric two-wheelers and passenger vehicles. Sansera has significantly expanded its aluminium forging capabilities to cater to EV drivetrain and chassis applications, which are aligned with global lightweighting trends.
- The company currently supplies precision drivetrain and structural components to premium EV manufacturers in the US and Europe. It has also secured orders from a new American EV OEM, with supplies commencing from 4QFY24. Management expects the tech-agnostic and xEV segment to contribute roughly 20% of total revenue over the next three years, making it one of the fastest-growing verticals for the company.

Exhibit 2: EV and Tech-agnostic Product Portfolio



Source: Centrum Broking, Company Data

B) Non-Auto business (~15% of revenue)

- Sansera is gradually scaling its non-automotive portfolio, with the long-term objective of increasing the segment's contribution to around 20% of revenue from the current ~15%. The company currently holds a non-auto order book of ~Rs.6.1bn, largely driven by aerospace, defence and semiconductor equipment components.

Aerospace and Defence – Expanding Order Visibility

- The aerospace and defence segment is emerging as an important growth driver, with an order book exceeding Rs.3.7bn. Sansera has secured direct supply contracts from Airbus, marking a significant milestone in its aerospace expansion strategy.
- Aerospace revenues are expected to double in FY26, supported by demand for aircraft engine casings and aerostructure components. The company is also investing nearly Rs.1.2bn in advanced aerospace machining infrastructure to strengthen its manufacturing capabilities and support future growth in this segment.

Semiconductor Equipment – Entry into High-Precision Manufacturing

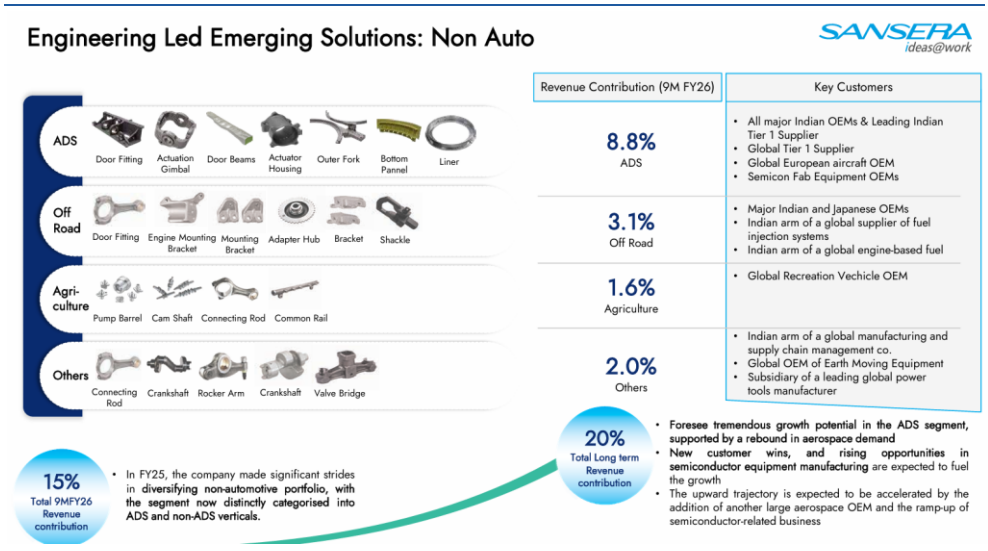
- Sansera's entry into semiconductor equipment manufacturing represents a strategic diversification into a highly specialised and high-margin industry.
- Semiconductor equipment manufacturing requires extremely high levels of precision and specialised machining expertise. To support this business, Sansera is establishing a Class 1000 clean-room facility, enabling the company to meet stringent

manufacturing standards. This initiative also aligns with the ongoing diversification of global semiconductor supply chains, as companies increasingly seek alternate manufacturing partners outside China and Taiwan. Over time, this segment is expected to offer premium pricing and stronger margins relative to traditional automotive components.

Off-Road and Agriculture – Gradual Recovery

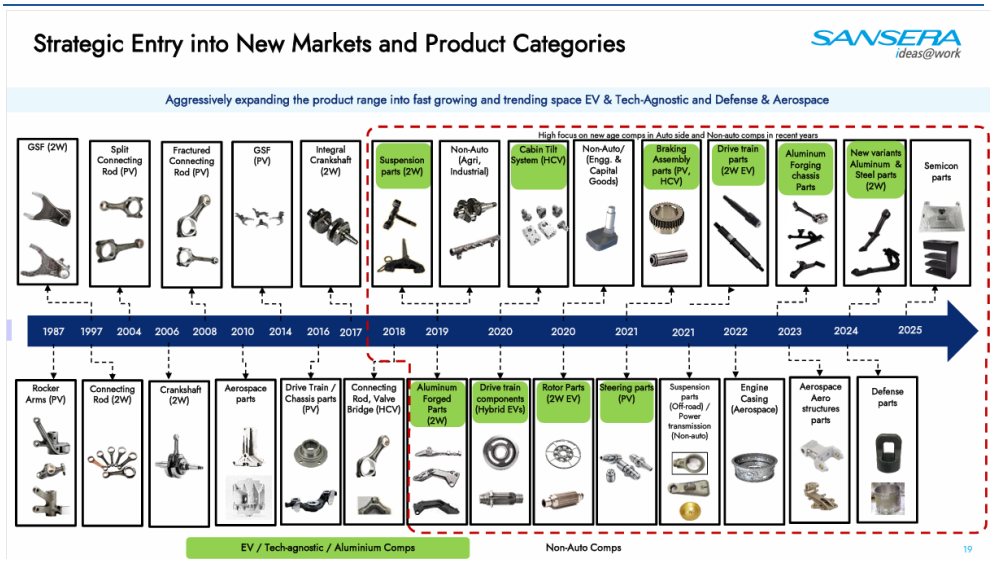
- Sansera maintains a meaningful presence in the off-road equipment segment. Revenues in this segment declined during the year due to labour disruptions at a key European customer facility, which temporarily impacted order volumes. The company expects demand to recover gradually once operations normalise.
- Despite the near-term weakness, Sansera has strengthened its customer base by onboarding a large European off-road OEM, which is expected to drive incremental revenue over the coming years. The agriculture segment, on the other hand, delivered healthy growth supported by improving rural demand and increased mechanisation in farming. With continued expansion of agricultural equipment usage and recent order wins from leading global OEMs, the segment is expected to remain a stable contributor to overall revenues.

Exhibit 3: Non-Auto Product Portfolio



Source: Centrum Broking, Company Data

Exhibit 4: New markets and products

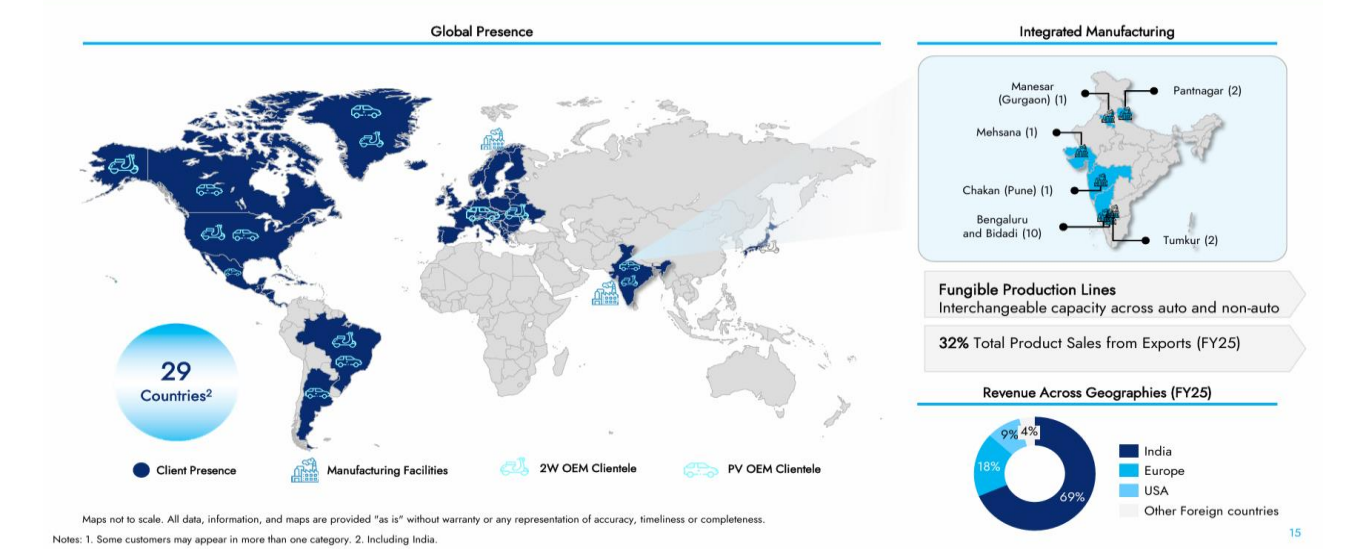


Source: Centrum Broking, Company Data

Manufacturing facilities, expansion plans and capex strategy

- Sansera currently operates 18 integrated manufacturing facilities, strategically located to serve both domestic and international customers.
- The company is actively expanding its manufacturing capabilities to support growth in aerospace, electric vehicles and semiconductor equipment segments. Over the next three to five years, capital expenditure will be directed towards capacity expansion in high-growth and high-margin verticals where the company has secured strong order visibility.
- For FY25, Sansera planned capital expenditure of approximately Rs.5.9bn, with 58% allocated towards plant and machinery, 34% towards land and buildings, and the balance towards other investments. The company has also completed a facility at Pantnagar, spread across around six acres, which will primarily cater to domestic two-wheeler components. The Pantnagar plant is expected to support cost-efficient manufacturing and focus on high-volume legacy components.
- In addition, Sansera continues to strengthen its core manufacturing capabilities through capacity expansion at multiple locations, including its Sweden-based ADS facility. The ADS facility is expected to have a gross block of roughly Rs.3.0bn, targeting revenue potential of Rs.6.0–6.5bn, implying asset turns of nearly 2x. The company also aims to double revenue from the ADS segment in FY26 from the current level of around Rs.1.3bn.
- Key strategic investments include expansion of aluminium forging capacity for EV drivetrain components, enhancement of semiconductor precision machining capabilities including the clean-room facility, and continued investments in advanced manufacturing technologies.
- Alongside capacity expansion, Sansera is also focusing on improving operational sustainability. In addition, the company is evaluating the establishment of a manufacturing or assembly facility in the United States, which would help mitigate tariff risks and strengthen engagement with North American customers.

Exhibit 5: Sansera Manufacturing Footprint



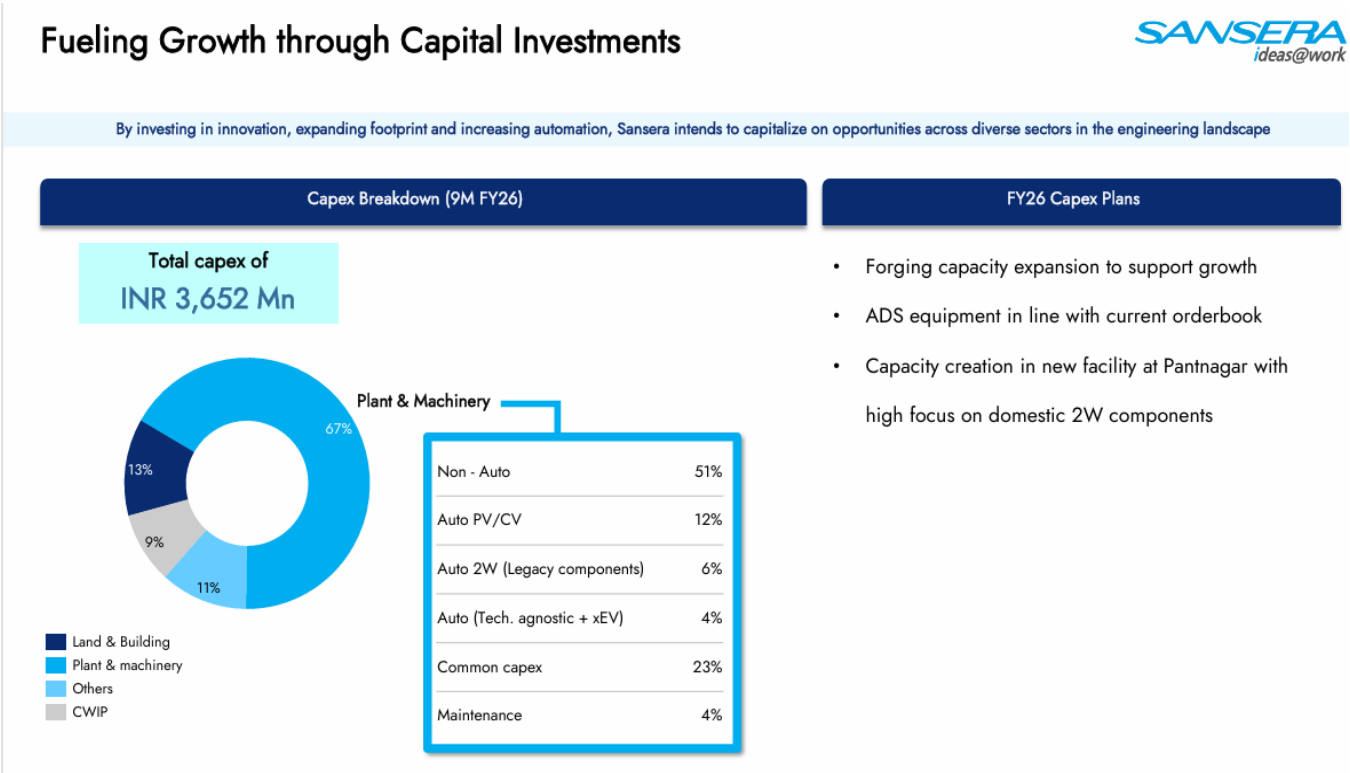
Source: Centrum Broking, Company Data

Exhibit 6: Manufacturing Plant Details

Facility / Location	State / Country	Key Products Manufactured	Key Customers / Segment	Capacity (if available)
Bidadi (Unit I)	Karnataka, India	Connecting rods (2W & PV)	2W OEMs (motorcycles, scooters)	Part of overall connecting rod capacity
Bidadi (Unit II)	Karnataka, India	Rocker arms, machined engine components	PV & 2W OEMs	Flexible machining lines (capacity not separately disclosed)
Harohalli Plant	Karnataka, India	Crankshaft assemblies, connecting rods	2W & PV OEMs	Multi-product precision machining facility
Harohalli Aerospace Facility	Karnataka, India	Aerospace precision components	Global aerospace OEMs	Aerospace machining capacity under gradual scale-up
Doddaballapur Plant	Karnataka, India	Gear shifter forks, transmission components	PV & CV OEMs	Flexible machining lines
Manesar Plant	Haryana, India	Connecting rods, machined engine components	North India OEMs (PV & 2W)	Capacity not disclosed
Pantnagar Plant	Uttarakhand, India	Engine components for 2W	Motorcycle OEMs	Proximity manufacturing to OEM clusters
MAPE (acquired facility)	Sweden	Heavy-duty forged components, connecting rods	CV and industrial engine OEMs	Precision forging for heavy-duty applications

Source: Centrum Broking, Company Data

Exhibit 7: Capex Outlay

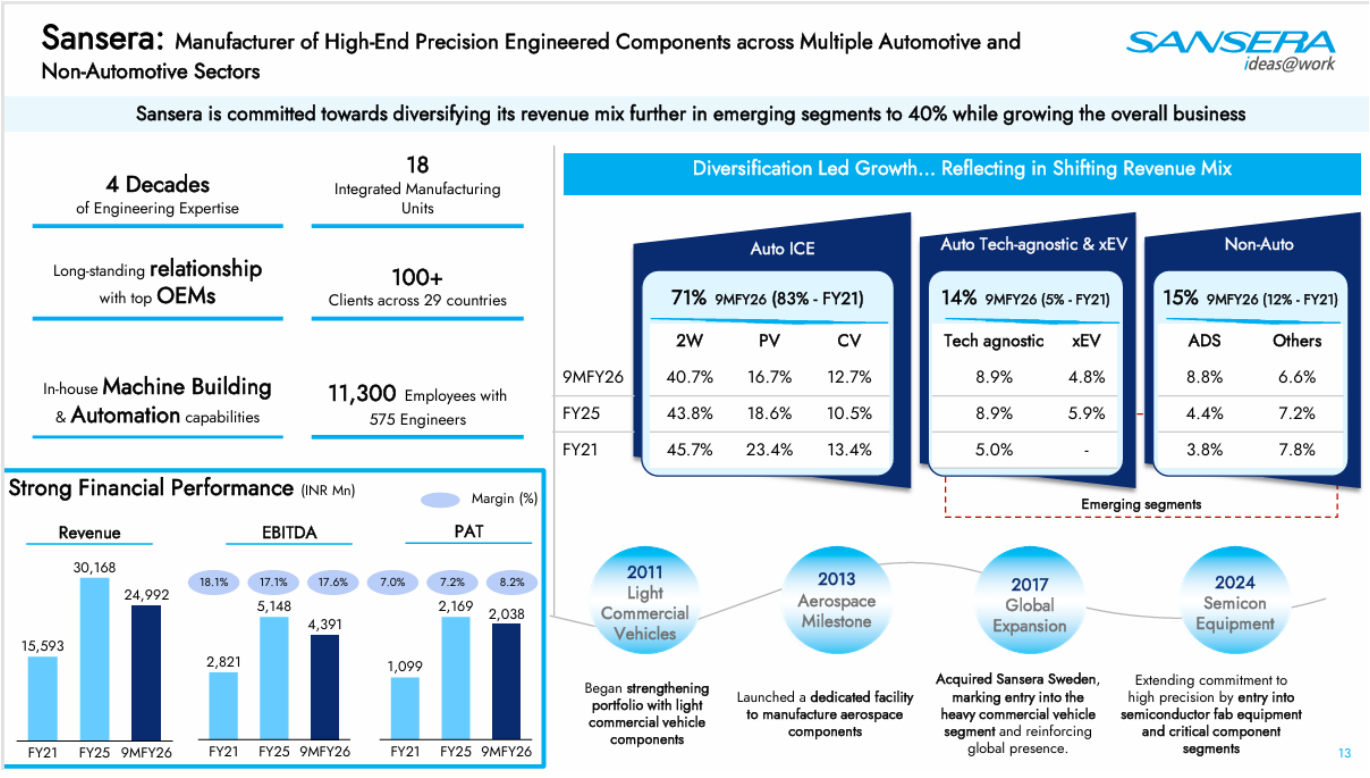


Source: Centrum Broking, Company Data

Exhibit 8: Pantnagar Plant commissioned in Feb-26

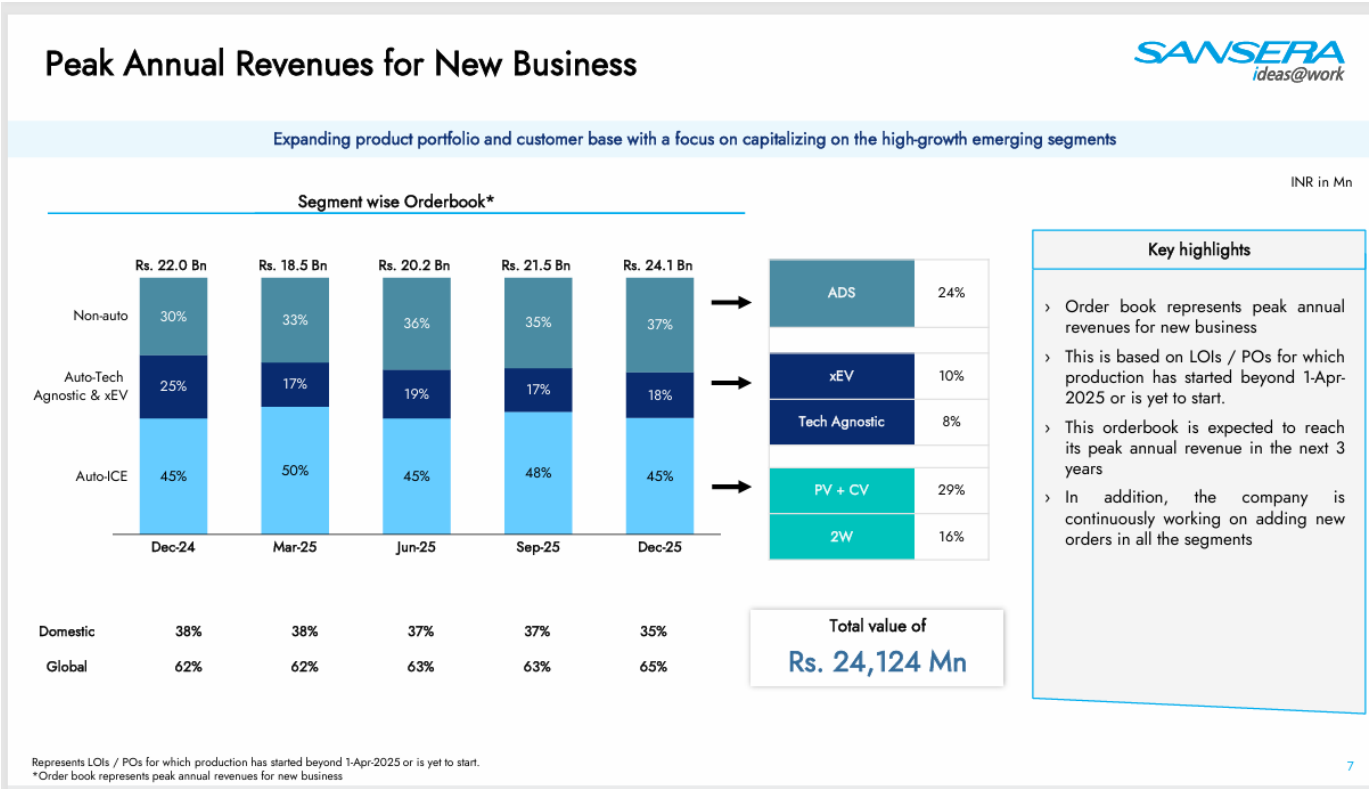
Source: Centrum Broking, Company Data

Exhibit 9: Revenue Split and performance



Source: Centrum Broking, Company Data

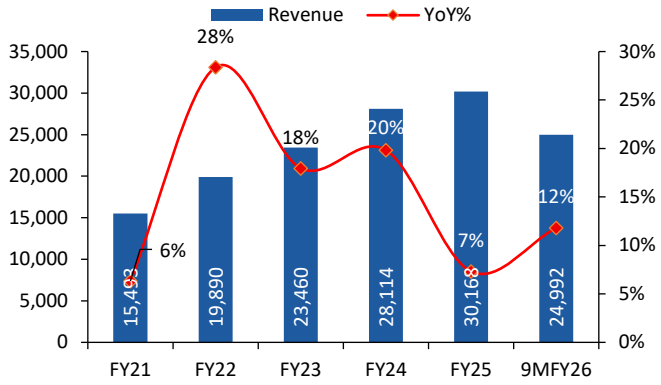
Exhibit 10: Strong Order book



Source: Centrum Broking, Company Data

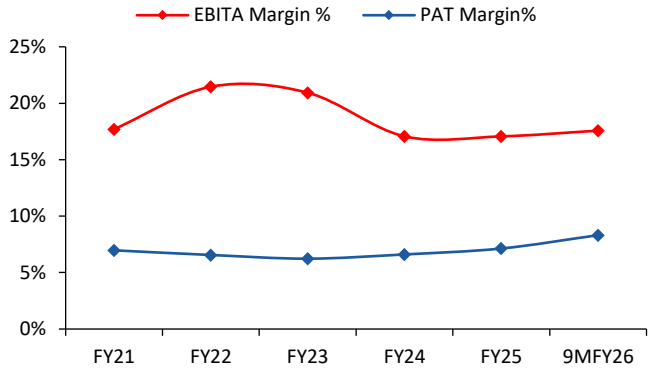
Story in Charts

Exhibit 11: Revenue Growth YoY



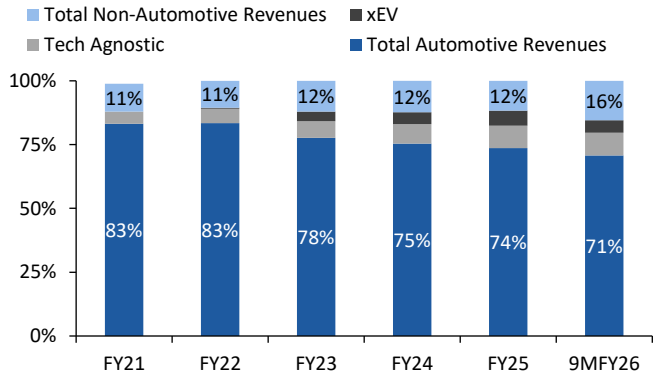
Source: Company Data, Centrum Broking

Exhibit 12: EBITDA margin and PAT margin trend



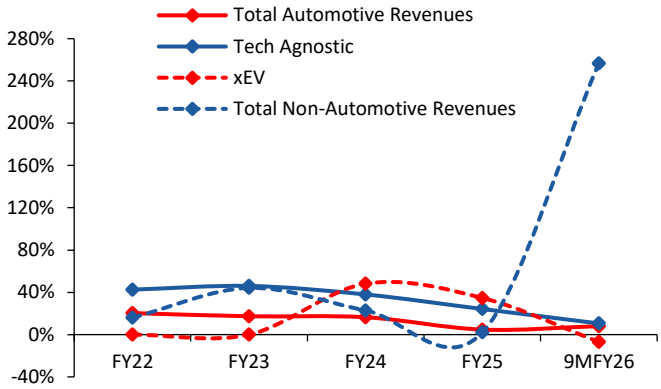
Source: Company Data, Centrum Broking

Exhibit 13: Revenue Mix trend



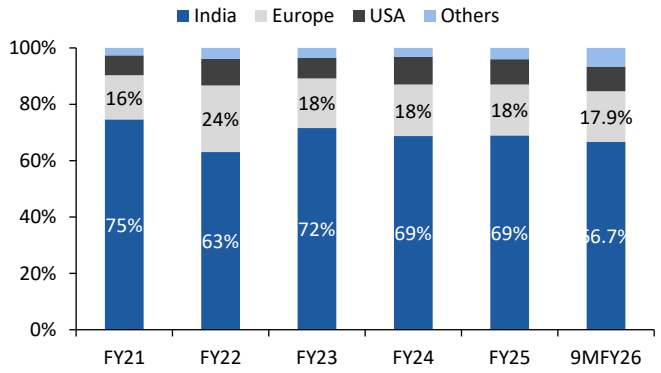
Source: Company Data, Centrum Broking

Exhibit 14: Segmental Growth trend



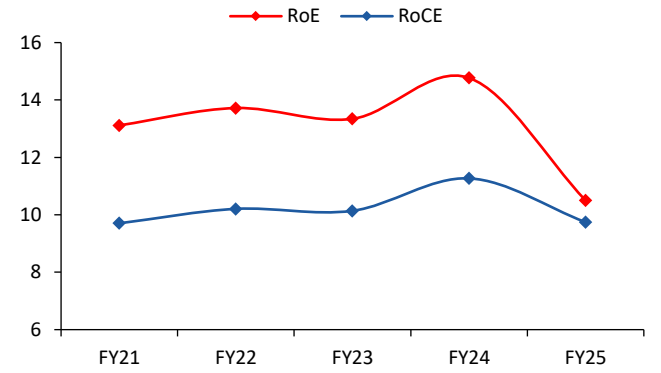
Source: Company Data, Centrum Broking

Exhibit 15: Geography mix



Source: Company Data, Centrum Broking

Exhibit 16: RoE & RoCE trend



Source: Company Data, Centrum Broking

P&L

YE Mar (Rs mn)	FY21A	FY22A	FY23A	FY24A	FY25A
Revenues	**15,493**	**19,890**	**23,460**	**28,114**	**30,168**
Operating Expense	6,635	8,641	10,175	12,175	12,414
Employee cost	2,138	2,774	3,180	3,798	4,427
Others	3,978	5,120	6,234	7,343	8,180
EBITDA	**2,743**	**3,355**	**3,873**	**4,799**	**5,148**
Depreciation & Amortisation	1,017	1,197	1,301	1,495	1,738
EBIT	**1,726**	**2,158**	**2,572**	**3,304**	**3,409**
Interest expenses	495	530	640	770	700
Other income	231	155	101	24	203
PBT	**1,461**	**1,784**	**2,032**	**2,558**	**2,912**
Taxes	363	465	549	687	751
Effective tax rate (%)	24.8	26.1	27.0	26.9	25.8
PAT	**1,099**	**1,319**	**1,483**	**1,870**	**2,161**
Minority/Associates	19	14	21	23	25
Recurring PAT	**1,080**	**1,305**	**1,462**	**1,847**	**2,136**
Extraordinary items	0	0	0	0	0
Reported PAT	**1,080**	**1,305**	**1,462**	**1,847**	**2,136**

Ratios

YE Mar	FY21A	FY22A	FY23A	FY24A	FY25A
Growth (%)					
Revenue	6.3	28.4	17.9	19.8	7.3
EBITDA	20.6	22.3	15.4	23.9	7.3
Adj. EPS	33.9	20.8	10.4	24.8	0.1
Margins (%)					
Gross	57.2	56.6	56.6	56.7	58.9
EBITDA	17.7	16.9	16.5	17.1	17.1
EBIT	11.1	10.9	11.0	11.8	11.3
Adjusted PAT	7.0	6.6	6.2	6.6	7.1
Returns (%)					
ROE	13.1	13.7	13.3	14.7	10.4
ROCE	10.3	10.7	10.6	12.0	10.2
ROIC	8.6	8.7	9.2	10.5	8.8
Turnover (days)					
Gross block turnover ratio (x)	1.1	1.3	1.3	1.3	1.1
Debtors	67	66	65	58	55
Inventory	134	111	116	118	135
Creditors	89	95	100	97	106
Net working capital	79	85	75	66	71
Solvency (x)					
Net debt-equity	0.5	0.7	0.6	0.5	0.0
Interest coverage ratio	5.5	6.3	6.0	6.2	7.4
Net debt/EBITDA	1.8	2.0	1.7	1.5	(0.2)
Per share (Rs)					
Adjusted EPS	20.7	25.0	27.6	34.5	34.5
BVPS	168.4	196.2	220.7	251.3	444.2
CEPS	40.2	48.0	52.2	62.3	62.6
DPS	0.0	0.0	0.0	0.0	0.0
Dividend payout (%)	0.0	0.0	0.0	0.0	0.0
Valuation (x)					
P/E	106.1	87.8	79.5	63.8	63.7
P/BV	13.0	11.2	10.0	8.7	4.9
EV/EBITDA	51.4	42.6	36.8	29.9	26.2
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0

Source: Company, Centrum Broking

Balance sheet

YE Mar (Rs mn)	FY21A	FY22A	FY23A	FY24A	FY25A
Equity share capital	230	230	230	230	230
Reserves & surplus	8,782	10,234	11,679	13,474	27,503
Shareholders fund	8,782	10,234	11,679	13,474	27,503
Minority Interest	105	119	140	159	173
Total debt	5,483	7,362	7,121	8,011	2,997
Non Current Liabilities	921	510	1,309	1,293	1,402
Def tax liab. (net)	618	642	689	692	801
Total liabilities	**15,909**	**18,867**	**20,938**	**23,630**	**32,877**
Gross block	13,488	15,571	18,522	21,951	26,844
Less: acc. Depreciation	3,488	4,530	5,831	7,326	9,064
Net block	10,000	11,041	12,691	14,625	17,780
Capital WIP	604	1,224	757	835	1,945
Net fixed assets	11,874	13,619	14,693	16,675	21,321
Non Current Assets	0	0	678	839	929
Investments	37	111	112	411	518
Inventories	2,486	2,776	3,710	4,189	5,010
Sundry debtors	3,130	4,086	4,327	4,622	4,546
Cash & Cash Equivalents	651	503	616	630	4,272
Loans & advances	550	41	41	43	35
Other current assets	560	1,074	452	519	724
Trade payables	1,837	2,653	2,927	3,558	3,623
Other current liab.	1,543	690	709	697	787
Provisions	0	0	55	43	68
Net current assets	3,998	5,138	5,456	5,705	10,109
Total assets	**15,909**	**18,867**	**20,938**	**23,630**	**32,877**

Cashflow

YE Mar (Rs mn)	FY21A	FY22A	FY23A	FY24A	FY25A
Profit Before Tax	1,461	1,784	2,032	2,563	2,920
Depreciation & Amortisation	1,017	1,197	1,301	1,495	1,738
Net Interest	474	510	615	770	700
Net Change – WC	54	(938)	(765)	(396)	(810)
Direct taxes	(331)	(429)	(556)	(654)	(650)
Net cash from operations	**2,560**	**2,131**	**2,564**	**3,743**	**3,766**
Capital expenditure	(1,340)	(2,670)	(2,425)	(3,386)	(5,958)
Acquisitions, net	0	0	0	0	0
Investments	22	103	16	13	119
Others	(77)	14	0	(310)	(3,709)
Net cash from investing	**(1,395)**	**(2,553)**	**(2,409)**	**(3,683)**	**(9,548)**
FCF	**1,166**	**(422)**	**155**	**60**	**(5,782)**
Issue of share capital	0	0	0	32	12,008
Increase/(decrease) in debt	(872)	971	672	893	(5,063)
Dividend paid	0	0	(105)	(133)	(162)
Interest paid	(459)	(515)	(602)	(743)	(650)
Others	101	(181)	(8)	(96)	3,292
Net cash from financing	**(1,231)**	**274**	**(42)**	**(47)**	**9,424**
Net change in Cash	(65)	(148)	113	13	3,642

Source: Company, Centrum Broking

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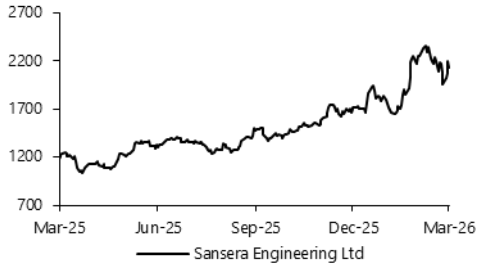
Sansera Engineering Ltd



Source: Bloomberg

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